sources, As a result, the government has to make huge amounts of repayment towards debt servicing.

The interest payment of the central government has increased from ₹ 21,500 crores in 1990-91 to ₹5, 75,794crores in 2018-19.

5. Development Projects

The government has been undertaking various development projects such as irrigation, iron and steel, heavy machinery, power, telecommunications, etc. The development projects involve huge investment.

6. Urbanisation

There has been an increase in urbanization. In 1950-51 about 17% of the population was urban based. Now the urban population has increased to about 43%. There are more than 54 cities above one million population. The increase in urbanization requires heavy expenditure on law and order, education and civic amenities.

7. Industrialisation

Setting up of basic and heavy industries involves a huge capital and long gestation period. It is the government which starts such industries in a planned economy. The under developed countries need a strong infrastructure like transport, communication, power, fuel, etc.

8. Increase in grants in aid to state and union territories

There has been tremendous increase in grant-in-aid to state and union territories to meet natural disasters.

9.8 Public Revenue

Public revenue occupies an important place in the study of public finance. The Government has to perform several functions for the welfare of the people. They involve substantial amount of public expenditure which can be financed only through public revenue. The amount of public revenue to be raised depends on the necessity of public expenditure and the people's ability to pay.

9.8.1. Meaning

The income of the government through all sources is called public income or public revenue.

According to Dalton, the term "Public Income" has two senses — wide and narrow. In its wider sense it includes all the incomes or receipts which a public authority may secure during any period of time. In its narrow sense, it includes only those sources of income of the public authority which are ordinarily known as "revenue resources." To avoid ambiguity, the former is termed "public receipts" and the latter "public revenue."

In a narrow sense, it includes only those sources of income of the Government which are described as "revenue resources". In broad sense, it includes loans raised by the Government also.

9.8.2. Classification of Public Revenue.

Public revenue can be classified into two types.

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